LEARNING CENTRE

THE INFORMATION RATIO

Mutual fund performance cannot be gauged just by the returns it earns and should be understood by how it has fared compared to its benchmark

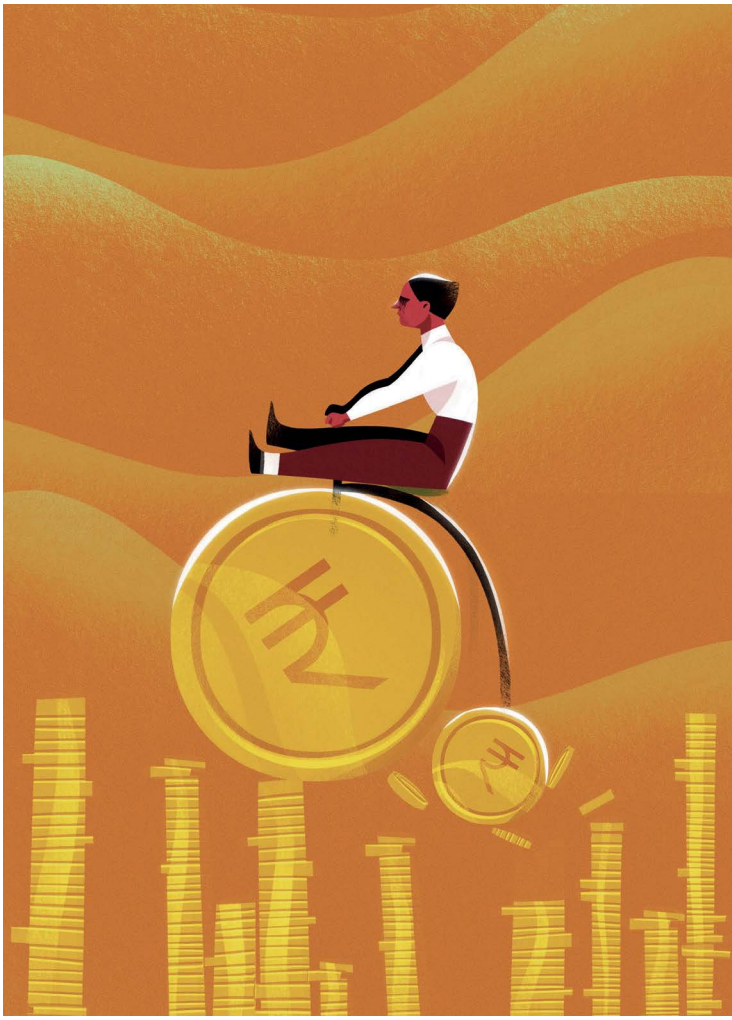


Illustration by SIDDHANT JUMDE

As a mutual fund investor, you are often unsure of how to interpret the performance of the fund you have invested in. Fund performance is often indicated over different time frames such as three months, one year, five years, since the inception of the fund and so on. Performance could be compared to peers, benchmarks, or even a no-risk instrument such as the interest rate one could earn from a bank savings account. With so much to go into evaluating the performance of the fund in which you have invested, there is one indicator that could help you understand the way your investment has fared— the Information Ratio (IR).

The IR is a critical indicator for assessing a mutual fund's performance, especially the benchmark that the fund tries to mirror. It is a quantitative measure that factors in the volatility of the returns to the benchmark. Unlike the benchmark, the IR not only evaluates how well a mutual fund scheme is matching and exceeding the benchmark's returns but also incorporates the standard deviation component, known as tracking error, to assess the consistency with which the portfolio achieves this outperformance.

It is a way to check how the fund has performed in comparison to the benchmark at different times and benchmark performance. A low tracking error signifies consistency, while a high tracking error indicates a more volatile performance. The IR indicates the performance of the fund, especially of the fund manager, and whether they have achieved a superior risk-adjusted return consistently. Risk-adjusted return means measuring how much risk has been taken to achieve the returns generated. This is expressed as a number. The higher the information ratio, the better the fund manager's performance compared to fund managers of peer funds. A higher IR also means better chances of achieving consistent returns.

CALCULATING IR

The IR is computed for a specific period by comparing the active return of the fund against the tracking error. The tracking error is the difference between a fund's returns and the benchmark or index it was meant to mimic. Mathematically, IR is equal to active return divided by tracking error. Here, the active return is what's generated by the fund minus its benchmark index return while the tracking error is the standard deviation of fund return minus benchmark return.

The IR helps investors make informed investment decisions. In the given example, although Fund A has a higher return than Fund B, the higher IR of Fund B makes it a better fund to invest in. ■

PARAMETER	FUND A	FUND B
Fund Return	15%	12%
Tracking Error	7%	3%
Benchmark Return	9%	9%
Information Ratio	0.85	1

–Narayan Krishnamurthy